AMADEUS IT GROUP SA AMADF

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by avahaz

			2026	2027
Price:	49.60	EPS	0	0
Shares Out. (in M):	425	P/E	0	0
Market Cap (in $M):	24,100	P/FCF	0	0
Net Debt (in $M):	2,400	EBIT	0	0
TEV (in $M):	26,500	TEV/EBIT	0	0

Description

Investment Summary

Amadeus was written up here as a short last November. Since then, the shares have declined more than 20%, driven by a combination of the concerns highlighted in that write-up and the broader sell-off in travel stocks following the war in Iran. We believe this has created an opportunity to buy an exceptional, structurally growing, oligopolistic business at the lowest valuation multiples in nearly 20 years.

Brief Background

Amadeus provides the technology infrastructure that connects and operates much of the global travel industry. The company has three main businesses: Air Distribution, Air IT and Hospitality.

Amadeus was founded in 1987 by Air France, Iberia, Lufthansa and SAS. The company was originally created as an airline distribution platform, but in the early 2000s it developed Altea, its airline passenger service system. Over the following two decades, Air IT grew to around 50% of group profits, while Amadeus expanded into hotel technology and other travel-related software.

The Distribution business connects travel providers, primarily airlines, with travel sellers such as online travel agencies, corporate travel management companies and traditional travel agencies. Amadeus aggregates the inventory provided by hundreds of airlines and makes it available through a single platform. It has more than 50% market share within the global GDS oligopoly, ahead of Sabre and Travelport.

Air IT provides the operating systems used by airlines to manage reservations, inventory and passenger departures. When a passenger books directly with an airline using Amadeus, the company processes the reservation. When the passenger checks in and boards, Amadeus manages the information flow through the departure control system. Amadeus processes more than 2 billion passengers boarded annually and has over 50% market share in the global Air IT market outside China.

Hospitality provides similar technology to hotels. Its central reservation system allows hotel groups to manage inventory, reservations and customer offers across their brands and properties. The business is earlier in its development but has established a leading position following contract wins with IHG, Marriott and Accor.

GDS Anchoring and the NDC Bear Case

The central premise of the short thesis is that Amadeus is a legacy Global Distribution System facing structural decline from NDC (a new airline distribution standard that allows airlines to create and distribute personalised offers), direct connections and AI. This framing significantly understates how the business has evolved. Distribution is no longer the main profit engine. Air IT now generates approximately half of group profits, with Hospitality and other IT products contributing another 10%. Together, these mission critical technology businesses represent the majority of profits and are growing considerably faster than Distribution.

Even within Distribution, the market is focusing on the gradual decline in the GDS share of global bookings while largely ignoring Amadeus's consistent market share gains within the GDS channel, the increasing complexity of airline content, and the very low net cost of its service. Airlines increasingly want to control their offers through NDC, but this does not eliminate the need to aggregate and distribute those offers across thousands of fragmented travel sellers. Amadeus already supports both traditional and NDC content and has more than 70 airlines connected to its NDC platform.

The main bear argument is that NDC will allow airlines and travel agencies to connect directly, bypassing the GDS and reducing Amadeus's Distribution volumes and fees. The share of global airline bookings processed through GDS platforms has declined from more than 30% in the early 2010s to approximately 19% today, largely due to the growth of airline websites and low-cost carriers. This trend is real, but it is neither new nor sufficient to undermine the investment case.

Firstly, the growth of direct bookings has predominantly occurred in simple domestic and short-haul travel. A customer booking a low-cost domestic flight will generally book directly through the airline's website. These bookings generate limited value for a GDS and have never represented the most attractive part of the market.

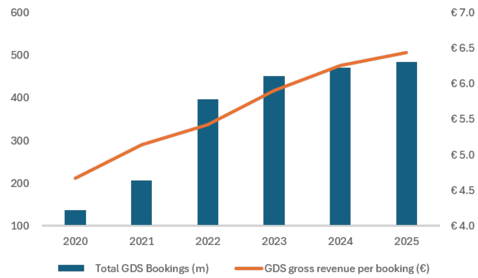
The more valuable part of Distribution consists of international and complex bookings where an airline needs to make its inventory available through travel sellers in other countries. Amadeus refers to these as away bookings. These are significantly more difficult to distribute directly than a domestic flight. Away bookings account for the majority of Distribution revenue, even though they do not represent the majority of volumes.

Secondly, NDC changes the format in which airlines create and distribute offers, but it does not remove the need for aggregation. Under the traditional model, the GDS creates a standardised offer from airline fare and availability data. Under NDC, the airline creates a more personalised offer and sends it through an API. However, travel agencies still need access to inventory from hundreds of airlines, all operating with different systems and levels of NDC capability.

Building and maintaining hundreds of direct connections is only economical for the largest agencies dealing with the largest airlines in their home markets. It is considerably less efficient for fragmented international inventory. Amadeus allows travel sellers to access traditional content, NDC content and other airline inventory through a single connection.

The evolution toward NDC is increasing the complexity of airline distribution rather than eliminating the aggregator. More offers, dynamic pricing and greater personalisation create more data that needs to be searched, compared, booked and serviced. Amadeus has already connected more than 70 airlines to its NDC platform and is not losing share as the technology develops.

In terms of the cost to airlines, the headline gross distribution fee of approximately €6 per booking also overstates Amadeus's economics. Amadeus pays around half of this amount to the travel agent, leaving a net fee of approximately €3. Contribution profit per booking has continued to increase despite the move toward NDC, indicating that the underlying economics remain healthy.



The overall GDS market is likely to grow slightly below global passenger volumes, but Amadeus's market share gains and pricing should allow its distribution revenues to continue growing at a low to mid-single-digit rate.

Air IT

While Distribution is a marketplace connecting airlines with travel sellers, Air IT is the central nervous system of an airline. It manages the airline's inventory, reservations and passenger departure process. These systems are mission critical, deeply embedded and typically governed by contracts lasting 10 to 15 years. An airline cannot easily replace them and cannot tolerate operational failure. Replacing a passenger service system is one of the most complex IT projects an airline can undertake.

The economics are also highly attractive. Amadeus charges approximately €1 per passenger boarded for Air IT. This is a tiny cost relative to the value of the ticket and the importance of the service. Contracts are generally fixed price per passenger and linked to inflation. Amadeus therefore participates in long-term passenger volume growth while being protected from changes in ticket prices.

Airlines outsource these systems because the economics of building and maintaining them internally are unattractive. More than 80% of Air IT is already outsourced. Amadeus can spread its R&D expenditure across more than 2 billion passengers and hundreds of airline customers. An individual airline, particularly one operating in a cyclical and capital-intensive industry, cannot replicate this level of investment economically.

Amadeus spends approximately 22% of revenue on R&D. Its annual R&D expenditure is equivalent to approximately half of Sabre's total revenue and the entire revenue base of Travelport.

Sabre is the main competitor in both Distribution and Air IT, but it is significantly smaller and more leveraged. This matters because airlines signing 10 to 15-year contracts need confidence that their technology provider will remain financially strong and able to fund future development. Sabre's weak balance sheet and smaller scale make it harder to match Amadeus's investment and implies greater risk for airline customers considering its platform.

Nevio

Airlines are beginning a multi-year transition from legacy passenger service systems built around fares and tickets toward modern Offer & Order platforms that enable personalised pricing, improved disruption management and greater ancillary revenue. Amadeus has invested for nearly a decade in Nevio, its next-generation platform, and has already signed British Airways, Air France-KLM, Finnair and Saudia, giving it an early leadership position in what could become the industry's next major technology upgrade.

The opportunity extends well beyond replacing existing systems. Today Amadeus earns approximately €1 per passenger boarded for Air IT. If its software enables airlines to generate even a modest increase in revenue per passenger through better retailing and personalisation, Amadeus should capture a share of that value through higher software revenues. As airlines modernise over the coming decade, we believe Airline Retailing has the potential to become the next meaningful growth driver alongside the existing Air IT business.

Hospitality

Hospitality represents approximately 15% of group revenue and 10% of profits.

The hotel central reservation system has similar economics to Air IT. Large hotel groups need a platform to manage inventory, reservations, pricing and customer offers across thousands of properties. The product also allows hotels to improve revenue per room by creating personalised offers and selling ancillary products during the booking process. As with airlines, Amadeus is helping its customers generate more revenue and can share in a small portion of that value creation.

Building this internally requires significant investment, while using a shared platform allows the technology provider to spread development costs across multiple customers.

Amadeus won IHG in 2015 and has subsequently added Marriott, Accor and Ascott. These contracts establish Amadeus as the leading global hotel CRS provider. With these large implementations, Hospitality should grow at double-digits for the next several years.

Hospitality margins are currently below those of Air IT but should increase materially as revenue scales over the existing cost base. The contribution margin for this segment was 36% in 2025 and are expected to increase by 100-200bps annually.

AI

A common concern is that AI agents will become the travel booking platform and connect customers directly with airlines and hotels, removing the need for Amadeus. This confuses the consumer interface with the infrastructure required to execute and service a transaction. Regardless of how a preferred journey was identified, an agent, whether AI or human, still needs access to live airline inventory, real-time pricing and availability. It must create the passenger record, issue the ticket, manage payment, process changes and cancellations and deal with disruption. The traveller may interact with an AI agent, but the underlying booking still needs to pass through the airline's reservation and order management systems.

Amadeus operates both sides of this infrastructure. It manages the airline's inventory and reservations through Air IT and aggregates that inventory for travel sellers through distribution. An AI agent can become another travel seller connected to Amadeus in the same way as an OTA, corporate travel manager or traditional agency.

Also, with Amadeus's net fee of approximately €3 for a GDS booking and €1 for Air IT, there is limited economic incentive to rebuild this infrastructure, attempt to build direct connections with every airline and manage hundreds of APIs, multiple technology standards and the full servicing workflow.

Growth and Valuation

Global air travel has historically grown at approximately 1.5x to 2x GDP, i.e. annual passenger volume growth is 3%-4%. Add to that 2-3% of inflation-linked pricing and 1-2% annual growth from market share gains in both Distribution and Air IT, and double-digit growth in Hospitality.

Taken together, Amadeus can grow revenues at 7-10% annually for the next few years. While margins are expected to be broadly flat this year, over time margins are expected to expand 50-100bps annually thanks to the largely fixed cost nature of the business and high incremental contribution margins of each of the segments, driving double-digit earnings growth. With the 3.5% dividend and 2-3% annual buybacks it adds up to 20%+ annualised returns.

Currently all this is for sale at 13x forward P/E and 8x EBITDA, the lowest multiples since 2013 (except for the brief covid crash), back when GDS accounted for the vast majority of profits and there was a lot of noise around several large airlines initiating direct bookings to disintermediate GDS.

Excluding the Covid distortion you can see in the chart, the average forward P/E since its IPO was 21x for a high-single-digit revenue CAGR.

The market currently values Amadeus as a mature GDS business facing structural decline, while the majority of earnings come from software businesses with long-term contracts, high switching costs and attractive reinvestment opportunities. This disconnect between perception and reality creates the opportunity.

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Catalyst

- Earnings growth
- Increased Buybacks

Messages

No messages